Rivava+ *Portfolio*

इरेडा
IREDA

Indian Renewable Energy Development Agency Limited (IREDA)

I.P.O Issue Price : ₹32 per Share

Listing Date : 29 November 2023

Public Shareholding (%) : 23.67%

Listing Price : ₹50 per share

Listing gain: +56.25% premium

Listing Date : 29 November 2023

Selling Date : 5 July 2024

Selling Price : ₹228.84 per share

Returns Generated : 715.125%

Investment Thesis

• Rivava initiated its position in the stock at an early stage, around the IPO price of approximately ₹32, identifying it as a high-potential opportunity.

• During the Modi 2.0 era, PSU stocks experienced strong growth due to policy support, improved governance, and enhanced financial performance, which aligned with our investment strategy.

• Our analysis highlighted the company's strong financial position, characterized by low to negligible debt and consistent profit growth in recent years.

• At the time of IPO, both IREDA and Tata Technologies were available as investment options. While the majority of investors preferred Tata Technologies due to its strong brand value, Rivava adopted a fundamentally driven and independent approach.

• Rivava chose to invest in IREDA based on deeper analysis rather than market sentiment or brand bias.

• As a result, IREDA significantly outperformed Tata Technologies and the broader market, delivering superior returns and validating our investment thesis.

• Our decision-making process was based on the following key factors:
– Market capitalization expansion potential
– Strong financials and low leverage
– Consistent profit growth trajectory
– Momentum and price movement patterns

• We identified that IREDA had a higher percentage growth potential due to its relatively lower market capitalization compared to Tata Technologies.

• Rivava focuses on percentage upside potential rather than absolute market size, as larger companies tend to exhibit slower growth compared to emerging opportunities.

• Our approach emphasizes avoiding crowd-driven decisions and instead relying on independent, research-backed analysis.

• As part of our disciplined strategy, Rivava initially takes smaller positions to assess market momentum before increasing allocation.

• IREDA has demonstrated characteristics of a momentum- and pattern-driven stock, reinforcing the importance of timing in such investments.

• Rivava places equal importance on exit strategy as on entry, ensuring disciplined profit booking and effective risk management.

• The detailed exit strategy for this investment is outlined in the following section.

rivava.in

Exit Thesis

• After a strong price performance in the stock, Rivava began evaluating exit opportunities in line with our disciplined investment framework.

• With upcoming general elections, our political and macro analysis indicated a high probability that the government would not return as a single-party majority.

• Based on this assessment, Rivava proactively initiated a phased exit strategy to safeguard gains and manage potential downside risks.

• Our analysis suggested that a coalition government could lead to slower policy execution, as multiple stakeholders with differing ideologies influence decision-making.

• This shift was expected to impact the momentum of PSU stocks, which had previously benefited from strong, centralized policy direction.

• As anticipated, the formation of the Modi 3.0 government as a coalition validated our thesis, leading to relatively lower momentum across the PSU segment.

• Rivava's timely exit allowed us to protect profits and avoid the phase of reduced growth and volatility in PSU stocks.

• This approach reflects our core philosophy:
– Align investment decisions with macro and political trends
– Act proactively rather than reactively
– Prioritize capital protection along with wealth creation

• Our strategy is designed not just to capture growth, but also to exit at the right time based on data-driven insights.

• Through this disciplined approach, Rivava aims to consistently deliver optimized returns while minimizing risk exposure.

• We encourage investors to adopt a similar mindset—focusing on timely decision-making, macro awareness, and strategic execution to achieve superior long-term results.